

IN THE SUPREME COURT OF PAKISTAN
(Appellate Jurisdiction)

Present:

Mr. Justice Yahya Afridi, CJ
Mr. Justice Muhammad Shafi Siddiqui
Mr. Justice Miangul Hassan Aurangzeb

Civil Petition No. 3110 of 2025

*[Against judgment dated 19.05.2025 of the
Islamabad High Court, Islamabad passed in
Custom Reference No.25 of 2024]*

The Collectorate of Customs (Enforcement), Islamabad. ... Petitioner

Versus

Danish Zaheer and others. ... Respondents

For the Petitioner: Mr. Muhammad Mumtaz Ali, ASC.
Syed Rifaqat Hussain Shah, AOR.
Mr. Ashraf Ali, Chief Legal Customs, FBR.

For the Respondents: Not represented.

Date of Hearing: 06.10.2025.

ORDER

Muhammad Shafi Siddiqui, J. We have heard the learned counsel for the parties and perused the material available on record.

2. In this petition the primary question as emerge is of passing of an order-in-original within the requisite time frame in terms of section 179(3) of the Customs Act, 1969 (hereinafter referred to as the “**the Act**”).

3. There was a split judgment between Member (Judicial) and Member (Technical) of the Customs Appellate Tribunal, Islamabad Bench-II (hereinafter referred to as “**the Tribunal**”) and therefore the matter was referred to Referee Member of the Tribunal. The Member (Judicial) found that the order-in-original was issued beyond the prescribed period of limitation,

whereas, the Member (Technical) considered it to have been passed within time. The Referee Member agreed with the Member (Judicial).

3. The record reflects that the show cause notice was issued on 27.04.2020 and 90 days limitation period for issuing an order-in-original expired on 26.07.2020 (90 days). The order-in-original was passed on 10.08.2020 and hence was time barred. It seems that the Collector (adjudication) granted himself an extension without recording reasons and hence under no stretch of imagination could be considered as valid extension of time. Even otherwise this extension has no application.

4. The question of the manner in which the limitation under section 179 (3) of the Act is to be determined in a case where section 2(s) of the Act has been invoked, is apparent by plain reading of relevant proviso. Where section 2(s) of the Act has been invoked, the limitation period for issuing an order-in-original after the date of issuance of the show cause notice is 30 days and in such cases the Collector is not vested with any kind of jurisdiction insofar as extension of time in terms of section 179(3) of the Act is concerned. The accusations in the show cause notice revolves around section 2(s) of the Act which was issued on 27.04.2020 and the order-in-original was passed on 10.08.2020. The Collector (Adjudication) and the Tribunal wrongly presumed that the period prescribed under section 179(3) of the Act for the purpose of issuing an order-in-original in respect of cases brought under section 2(s) of the Act is also 90 days which is incorrect. For convenience, we reproduce section 179(3) and its proviso:

“(3) The cases shall be decided within ninety days of the issuance of show cause notice or within such period extended by the Collector for which reasons shall be recorded in writing, but such extended period shall in no case exceed sixty days.

Provided that in cases, wherein the provision of clause (s) of the section 2 have been invoked, such cases shall be decided within a period of thirty days of the issuance of show cause notice:"

5. Thus, the above proviso would make it clear that insofar as goods falling in section 2(s) of the Act are concerned, the requisite time-frame for passing order-in-original is 30 days for which no extension is permitted in the law.

6. For the reasons noted above, we are not inclined to interfere with the impugned judgment of the High Court. Consequently, this petition is dismissed and leave to appeal is refused.

Chief Justice

Judge

Judge

Islamabad:
06.10.2025
Approved for Reporting
[Asif Bhatti]